

ers,” says Swetha Joseph, Associate Partner, Talent Solutions, India, Aon. “The gap is most pronounced among KMPs.” She adds that remuneration data for board members should be interpreted carefully. Directors who also function as KMPs tend to receive substantially higher compensation compared to independent directors. Inconsistent reporting practices, particularly the lack of differentiation between executive, non-executive, and independent directors, make meaningful comparisons challenging. Greater transparency would enhance clarity in pay parity assessments.

Also, these numbers reflect the lack of representation of women both in the boardroom and in leadership positions. Aon’s study of women in the boardroom, in collaboration with Khaitan & Co and Ladies Who Lead, shows that while women account for 18.5% of board members, only 11% are executive directors, compared with 35% of men.

“Unless women are deliberately supported to enter, progress, and advance within organisations, the pool of qualified women candidates for board positions will continue to be unduly constrained,” says Joseph.

The World Economic Forum’s Global Gender Gap Report 2025 highlights the broader picture. India ranks 131 out of 148 countries, slipping two places from the previous year, with an overall gender parity score of 64.1%, one of the lowest in South Asia. Globally, the gender gap has improved slightly from 68.4% in 2024 to 68.8% in 2025, but at the current pace, it will take 123 years to reach full parity, the report warns.

India ranks among the bottom five economies in the Economic Participation and Opportunity subindex (40.7%), alongside Sudan, Pakistan, Iran, and Egypt. Women in these countries access less than a third of the economic resources available to men and remain severely underrepresented in senior roles, with female-to-male ratios below 0.4 and labor-force participation less than half that of men.

The dynamics are further complicated at the CXO level. According to Xpheno CXO Movements data, while the absolute number of women moving into CXO roles increased by 25% in H1 2025 compared to the same period last year, their share of total CXO appointments fell from 20% to 14%. In 2024, one in five new CXO appointments was a woman; by 2025, it dropped to one in seven. Historically dominated by HR roles—77%

of women CXO appointments in H1 2024—women leaders are gradually moving into commercial and growth-facing functions. By H1 2025, women CHRO appointments dropped to 62%, reflecting diversification beyond HR, yet they remain outnumbered in high-value, revenue-generating roles.

“For board diversity to be sustainable, organisations must consciously invest in building strong internal pipelines of women leaders, ensuring they are not only present in support functions but are also driving core business decisions and strategy at par with their male counterparts,” Joseph notes.

BARRIERS TO PARITY

Experts point to both structural and psychological factors that maintain the pay gap.

“The biggest barrier keeping mid-career and senior women from achieving pay parity is structural and cultural bias, combined with lack of visibility and sponsorship,” says Purushothaman. Indian women frequently report doing exceptional work but being



ALTHOUGH INDIA HAS MADE STRIDES IN PROMOTING WOMEN TO BOARDROOMS, THE PAY GAP PERSISTS AT MID-SENIOR AND LEADERSHIP LEVELS

overlooked because their contributions aren’t visible to the right decision-makers. Informal networks, subjective evaluations, and manager discretion often disadvantage women, especially those balancing caregiving or career breaks.

“The cumulative effect is that women often receive smaller raises, slower promotions, and lower bonus payouts than men in comparable roles,” she adds. Beyond pay, this affects career trajectory, confidence,